

Read-through from global companies' AI developments

Quick Note

As the June quarter reporting season came to an end in both the US and China, we think it would be interesting to compare the recent developments in large language model (LLM) and generative AI technologies. We recently published read-through notes on large US tech companies including *Microsoft* (MSFT US, Not rated), *Alphabet* (GOOG, Not rated), *Meta* (META US, Not rated) and *Amazon* (AMZN US, Not rated), and also hosted an AI industry tour to meet China's AI companies and experts (see our report: *Beijing AI tour takeaways*). While the global AI value chain is evolving rapidly, we think there are several implications for China's AI companies: 1) the development and training for state-of-the-art LLMs is a long term trend, which would support the AI infrastructure demand, echoing our greater China semiconductor analyst Aaron Jeng's positive view (see report: *When AI hardware meets AI software*); 2) China's LLM market is currently significantly fragmented with a handful of players (see our report here: *8 LLMs given green light for public launch*), but may consolidate in the future, in our view. Also, we think large tech companies have competitive advantages in terms of computing power, data, and algorithms, while smaller players may operate in the niche markets in vertical industries and applications; 3) In terms of business development, some global pioneers have already started to monetize their products and solutions in the consumer and enterprise markets, while China's players are also following the steps of global leaders. More specifically, we see Chinese companies' AI monetization as more focused on the government and enterprise markets now, by providing model training and private model deployment services, while the monetization in the consumer market may still take time.

In this report, we summarize the AI technology and application developments from four global consumer and enterprise software firms (), including Adobe (ADBE US, Not rated), Salesforce (CRM US, Not rated), C3 AI (AI US, Not rated) and SAP (SAP GR, Not rated), based on their June quarter earnings transcripts and company announcements in the latest investor events. We note that the four global software players have all launched generative AI solutions and incorporated them into their core product portfolios, while the monetization has also begun. We think China's software peers are not lagging in terms of developing generative AI technologies and exploring business opportunities, but the monetization may take longer in China, due to the competitive market environment, and customers' stringent IT budgets. On the bright side, China has big consumer and enterprise markets, which could provide plenty of application scenarios and consumer/industry data and could help local software players to gradually catch up in the global generative AI value chain, in our view. In the China software market, Kingdee (268 HK, Buy) is our preferred pick.

Adobe: Generative AI capabilities already integrated in core products, including Creative Cloud, Experience Cloud, Adobe Express, etc

- Management noted that the company's generative AI capabilities were commercially available, and natively integrated in Create Cloud, Experience Cloud, Adobe Express, etc.
- New AI and 3D features were integrated in products such as Premiere Pro and After Effects, including enhanced speech and text-based editing capabilities.
- Adobe Firefly (including Enterprise version), which is a multi-modal generative AI model family, is now commercially available after the beta version's launch six months ago, and has already seen over 2 billion images generated.
- For Firefly, the Application Programming Interfaces (APIs) were also available to

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customers for them to embed Firefly into their own workflows or products.

- In terms of the monetization model, Adobe provided free + paid subscription offerings, including generative AI credits, which are tokens that can be used by subscribing customers to turn text-based prompts into images or other types of contents.
- While the generative AI monetization process has already started, management noted the primary focus is on new user adoption and upgrading existing customers to higher-priced offerings.

Salesforce: company launched next-gen Einstein platform at Dreamforce 2023 event

Salesforce released its 2QFY24 earnings on 30 August and hosted its annual flagship conference “Dreamforce 2023” on 12-14 September. During the conference, the company announced its next-gen Einstein platform (its AI platform), which incorporates generative AI solutions such as Einstein Copilot, a conversational AI assistant built into every Salesforce application, and Copilot Studio, which can help customers build AI-powered apps with custom prompts, skills, and AI models. During the earnings call, management also discussed the following recent developments for Salesforce:

- The company’s USD500mn generative AI fund is helping companies such as Anthropic, Cohere, Hugging Face to develop ethical AI.
- In the past few months, the company has incorporated a new layer of generative AI assistance across all the Customer 360 CRM platforms, and salespeople are now using the company’s Sales Cloud GPT, which was released in the September quarter.
- Einstein and its generative AI capabilities have been adopted by companies like Heathrow Airport and PenFed Credit Union for service enquiries, and writing case summaries, etc.

We also note that the generative AI capabilities have been incorporated in all the major solutions provided by Salesforce, such as Service Cloud, Marketing Cloud, Data Cloud, etc, and the company already has subscription plans for customers. For instance, the Sales Cloud or Service Cloud Einstein would cost USD50/user/month, according to the company.

C3 AI: Generative AI enterprise platform with 40+ turnkey industry-specific AI applications

C3 AI, which was founded in 2009, serves as an enterprise AI solution platform company, which has gradually expanded its footprints from the energy sector to the government, defense, manufacturing, pharmaceuticals, agriculture, IoT sectors over the past decade. The company’s generative AI platform was launched in January 2023, and management pointed out key updates in their 1QFY24 (quarter ending at 31 July 2023) earnings call:

- C3 generative AI pilots and trials have been applied in various industries, and by 1QFY24, the pilot accounts were split into seven industries (based on deal count): 25% for energy & utilities, 12.5% each for manufacturing, agriculture & forestry, Consumer Packaged Goods (CPG), local, federal/defense & aerospace, and high tech;
- In terms of the account size (in revenue), eight accounts have a revenue size of over USD100bn, seven accounts between USD10-100bn, six between USD1-10bn, and three between USD 100mn-1bn.
- The company has finalized 12 generative AI agreements and has a pipeline of more than 140 qualified deal opportunities for C3 generative AI enterprise solutions, which can be launched in less than six months.
- Management believes the most common generative AI use case will be enterprise search – LLMs applied to the enterprise will allow a single search bar to access all enterprise applications and immediately return the appropriate answer and act as a truly unified enterprise search model.
- During the earnings call, management announced the immediate availability of its new C3 generative AI suite, including 28 new demand-specific generative AI solutions for industries, business processes, and enterprise systems.
- C3 generative AI applications have a direct licensing business model, and can be fully deployed within 12 weeks for USD250,000, and are now available on the AWS

marketplace, the Google Cloud marketplace, and the Azure marketplace.

- After the deployment stage, the volume-based pricing model will apply, and management provided an example that the customer will pay USD0.35 per vCPU/vGPU per hour.

SAP: addressable market likely to double to USD1tn by 2028, with AI being a key contributor

Management discussed in the June quarter earnings call about its SAP Business AI solution, the addressable market, as well as the monetization model:

- SAP will be introducing new premium-wise offerings for SAP Business AI suites with a price uplift of up to 30% in this fall.
- More than 24,000 SAP Cloud customers today can already use SAP Business AI across hundreds of built-in AI capabilities and partner use cases.
- Management provided several tangible examples to prove the effect of using SAP Business AI; for instance, in SAP Transportation Management solution, generative AI will save up to 55% of the processing cost of delivery notes; the new intelligent collections in SAP S/4HANA Finance can reduce the time between invoice and payment by up to 10%.

Fig. 1: Global software companies' AI developments

Company	Ticker	Sector	LLM development	Product and application development	Business and monetization development
Adobe	ADBE US	Application software	Adobe Firefly, a multimodal Generative AI model family, is now commercially available	Generative AI capabilities are commercially available, and natively integrated in Create Cloud, Experience Cloud, Adobe Express, etc	Adobe provided free + paid subscription offerings. Adobe Firefly premium version now charges USD5/month/user for 100 credits
Salesforce	CRM US	Enterprise software	Next-gen Einstein (Salesforce AI platform) launched in September, which incorporates Generative AI solutions such as Einstein Copilot	Einstein Copilot, a conversational AI assistant built into every Salesforce application, and Copilot Studio will be released this fall	Sale Cloud or Service cloud Einstein would cost USD50/user/month
C3 AI	AI US	Enterprise software	C3 Generative AI platform was launched in January 2023, with 40+ turnkey industry-specific AI applications	The new C3 Generative AI suite was launched in September, including 28 new demand-specific Generative AI solutions	C3 Generative AI applications can be fully deployed within 12 weeks for USD250,000; after the deployment stage, customers may pay by usage, i.e., USD0.35 per vCPU/vGPU per hour
SAP	SAP GR	Enterprise software	More than 24,000 SAP Cloud customers today can already use SAP Business AI across hundreds of built-in AI capabilities and partner use cases	In SAP Transportation Management solution, Generative AI will save up to 55% of the processing cost of delivery notes; the new intelligent collections in SAP S/4HANA Finance can reduce the time between invoice and payment by up to 10%	SAP will be introducing new premium-wise offerings for SAP Business AI suites with a price uplift of up to 30% in the fall

Source: Company data, Nomura research

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Kingdee	268 HK	HKD 10.74	15-Sep-2023	Buy	N/A	

Kingdee (268 HK)

HKD 10.74 (15-Sep-2023) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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